PLOVER ANALYTICS · RESEARCH PLAN

Japan regional banks and the rise in JGB yields

Research plan for approval · as-of 2026-09-23 · Plover Analytics

Status: awaiting approval. No research beyond the inventory below has been done. **As-of:** `2026-09-23`. Every Plover number is frozen at this date (`as_of=2026-09-23`) so the piece's links keep showing the same figures after the next release.

1. Question

> **Which regional banks are winning from higher rates, and which are exposed through the bond book they built on the way up?**

The group answer is already public and unsurprising: regional banks earned more in the year to March 2026 than in any year since the data begins. The piece exists because the group number hides the distribution — and because we can now open the bond book bank by bank, which is not something the published aggregates allow.

Audience: buy-side and sell-side analysts who cover Japanese banks, plus *Asia Economics Observations* readers. Assume they know what a bond book is; do not assume they know what ΔEVE is.

Format and length: to be confirmed — see the questions at the end.

2. Hypotheses

Written so the data can prove them wrong.

#	HYPOTHESIS	WHAT WOULD DISPROVE IT
H1	Rising rates have widened the lending margin faster than deposit costs have risen, so core profit is growing faster than interest income.	Core profit growing in line with, or slower than, net interest income.
H2	Most of the extra interest income has been spent realising losses on old low-yield bonds, so the profit rise is smaller than it looks.	Bond losses materially smaller than the rise in interest income.
H3	Regional banks added JGBs while the megabanks cut them, so duration risk is concentrating in the weaker tier.	Regional holdings flat or falling, or city banks adding.
H4	**The banks carrying the biggest mark-to-market hole are not the banks the supervisor's own rate-risk measure flags.** The two rankings disagree.	The two rankings broadly agree, in which case the unrealised-loss number tells you nothing new.

H4 is the piece's reason to exist. It needs both the unrealised loss from the securities note and each bank's own Basel ΔEVE from its Pillar 3 disclosure, side by side. As far as I can establish, no free source puts those two together.

3. Outline

One claim per section, with the evidence and the chart that carries it.

§	CLAIM	EVIDENCE	VISUAL
1	**The answer, up front.** Regional banks doubled profits, spent nearly all the margin gain cleaning up the bond book, and are now more rate-exposed than the megabanks.	§2–§6	—
2	Rates moved further and faster than the market expected: 10-year JGB 0.9% → 3.0%.	`jgb-yields` 10Y, 5Y, 30Y	Line chart, 2024–now, with the March fiscal year-ends marked
3	**H1** — The margin is genuinely wider. New-loan rates rose about 1pp while posted deposit rates rose a fraction of that.	`boj-loan-rates` (city/regional/regional-II/shinkin), `boj-deposit-rates` ordinary	Line chart: four lender rates + deposit rate
4	**H2** — Group profits are up sharply, but bond losses took most of the margin gain.	`fsa-bank-results` regional: net interest income, bond gains, core profit, net income, FY2022–FY2026	Column chart: change in NII vs bond losses, by fiscal year
5	**H3** — Regionals bought JGBs as yields rose; the megabanks sold.	`jba-banks` `s.regional.d290`, `s.regional-2.d290`, `s.city.d290`; loan-to-deposit from `d395` / `a015`	Indexed line, March 2022 = 100
6	**The distribution.** Which individual banks carry the loss — unrealised bond loss against net assets, and the share of the book beyond ten years.	`bank-balance` screens `bond_loss_to_equity`, `over_10y_share`	Ranked bar, top 15, with the group median marked
7	**H4** — The supervisor's own measure disagrees with the accounting one.	`bank-balance` `/irrbb` ΔEVE ÷ Tier 1, joined to §6	Scatter: unrealised loss ÷ equity (x) against ΔEVE ÷ Tier 1 (y), 15% line marked
8	**What would change the answer** — risks and limits.	coverage gaps below	—
—	Appendix: sources, formulas, coverage.		

Sections 6 and 7 are the ones nobody else can publish. Sections 2–5 are the setup and should be brisk.

4. Data inventory

Every row below was confirmed by an actual call today, not from memory.

Held, on production (citable public URLs today)

EVIDENCE	DATASET	SERIES / SCREEN	CONFIRMED
10y/5y/30y JGB yields, daily to 2026-09-17	`jgb-yields`	`10Y`, `5Y`, `30Y`	✅ 10Y = 3.028% on 2026-09-15, 2.366% at FY-end 2026-03-31
Regional group P&L, FY2005–FY2026	`fsa-bank-results`	`regional.net-interest-income.fy`, `.bond-gains.fy`, `.core-net-business-profit.fy`, `.net-income.fy`	✅ NII ¥3,884bn → ¥4,975bn; bond gains –¥477bn → –¥1,156bn
JGB holdings by bank group	`jba-banks`	`s.regional.d290`, `s.regional-2.d290`, `s.city.d290`	✅ regional ¥14.70tn → ¥20.76tn; city ¥75.71tn (2022) → ¥55.52tn

EVIDENCE	DATASET	SERIES / SCREEN	CONFIRMED
Loans, deposits, securities by group	`jba-banks`	`s.regional.d395`, `.a015`, `.d275`	✅ loan/deposit 77.5% → 81.7%
Per-bank statement lines, ~150 banks	`jba-banks`	`s.{code}.d290` etc.	✅ 151 per-bank government-bond series
Bad-loan ratio by group	`fsa-npl`	regional tiers	✅ available, to 2025-09

Held, but local only — not yet deployed

EVIDENCE	DATASET	CONFIRMED TODAY	COVERAGE
New-loan rate by lender, 1993–	`boj-loan-rates`	✅ regional 1.752%, city 1.778% (Jul 2026)	63 series
Posted deposit rates	`boj-deposit-rates`	✅	31 series, Apr 2022–
Every deposit-taker with disclosure URL	`fsa-regional-fi`	✅	495 institutions
Unrealised bond loss per bank	`bank-balance`	✅ 82 banks ranked; regional total –¥3.42tn, of which JGBs –¥1.91tn	82 clean of 91
Share of book beyond 10 years	`bank-balance`	✅ 48 banks (six-bucket ladders only)	48
Official ΔEVE ÷ Tier 1	`bank-balance` `/irrbb`	✅ 72 banks; 58 clean, 14 flagged, 26 not found	72 of 98

Gaps and how each is handled

GAP	DECISION
Four datasets are local-only. Sections 3, 6 and 7 — the heart of the piece — cannot be cited to a public URL until they are deployed.	**Needs your call.** Either (a) deploy first, then write, so every chart links to a live citable view; or (b) write now and hold publication until deploy. I recommend (a): the skill's whole point is that each number resolves to a permanent URL, and a Substack post with dead links is worse than one published a day later.
26 of 98 regional banks have no ΔEVE found — JavaScript-only or bot-blocking sites (Resona group, Yokohama FG, Kyushu FG among them).	**Disclose, don't extrapolate.** §7 states coverage as "72 of 98" and the scatter plots only those. The missing names are listed in the appendix so a reader can check their own.
14 ΔEVE tables carry a flagged check (a missing scenario row, an as-of read from the document rather than the table).	Shown with the flag visible, excluded from any median or count. Each is traceable to its PDF page and SHA-256.
No share prices. We hold none under licence.	**Drop the valuation angle entirely.** No "cheap versus expensive", no pair trade. The piece is about balance-sheet exposure. If you want the price overlay, that is your own data and your own call.
Shinkin banks have no per-bank bond book — they file no securities report.	Out of scope; noted once so a reader does not read "regional banks" as "all local lenders".
Prior session's claim that city-bank JGBs were "¥69tn in 2022"	**Re-derived, and it does not match:** the March 2022 figure is ¥75.7tn. The piece will use ¥75.7tn. Flagging because it shows the old note was not fully traceable.

5. Out of scope

- Valuation, price performance, and any buy/sell view.
- Credit quality beyond citing the bad-loan ratio once as context.
- Shinkin banks and credit co-operatives at bank level.
- Interest-rate forecasting. The piece takes the curve as given and asks who is exposed.
- The megabanks, except as the contrast in §5.

6. What I need from you before Step 2

1. **Deploy first, or write against local?** (I recommend deploy first.)
2. **Format:** Markdown/Substack, Word, PowerPoint — or more than one?
3. **Length:** I suggest ~1,800 words and 5 charts for Substack; or 12 slides if it is a client deck.
4. **Does H4 hold your interest?** If the two rankings turn out to agree, §7 becomes a short null result and the piece leans on §6 instead. I will report that rather than bury it.